

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR
6 HOUSE BILL NO. 4030

By: Caldwell (Trey) and Kane of
the House

and

Hall and Haste of the
Senate

11 COMMITTEE SUBSTITUTE

12 An Act relating to education; specifying
13 apportionment of certain appropriated funds;
14 providing for the budgeting of funds in certain
15 categories and amounts; requiring development of
16 certain performance measures; requiring transfers of
17 certain funds; limiting authority to reduce certain
18 apportionments; requiring certain funds to be
19 expended for certain purposes; stating purposes for
20 allocated funds; requiring certain transfer of funds;
21 stating legislative intent regarding expenditures for
22 direct costs; prohibiting the State Department of
23 Education from contracting for certain administrative
24 costs in certain program; providing for duties and
 compensation of employees of the State Department of
 Education; requiring the reduction or withholding of
 State Aid funds for certain purposes; authorizing the
 State Board of Education to request transfer of
 certain funds; authorizing the request of early
 allocations for certain funds; requiring proportional
 reductions of allocations under certain conditions;
 authorizing exemption from budgetary limits for
 unanticipated federal funds; providing procedures;
 requiring approval of exemption request under certain
 conditions; requiring budgeting of certain funds in
 certain years; requiring certain budgeting

procedures; prohibiting certain budgeting procedures; appropriating certain funds in certain amount for certain purpose; directing utilization of certain amounts for certain purposes; providing for noncodification; providing an effective date; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

For the fiscal year ending June 30, 2027, for the support of public school activities by the State Board of Education payable from monies appropriated and authorized by Enrolled Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature shall be apportioned as follows:

1. Funds appropriated and authorized by Sections 1, 2, 3, 4, 5, 6, 7, 8, and 19 of Enrolled Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature:

Local- and State-supported:

a. Financial Support of Public

Schools	\$3,095,577,929.00
---------	--------------------

b. Redbud School Grants	\$125,000,000.00
-------------------------	------------------

SUBTOTAL, PARAGRAPH 1	\$3,220,577,929.00
-----------------------	--------------------

2. Funds appropriated by Sections 9, 10, 11, 13, 18, 20, 21, and 22 of Enrolled Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature, shall be utilized to fund:

1	a. Certified Employee Health	
2	Benefit Allowances	\$420,597,720.00
3	b. Support Employee Health Benefit	
4	Allowances	\$261,700,874.00
5	c. School Security	\$50,000,000.00
6	d. The Purchase of Textbooks and	
7	Instructional Materials	\$45,190,000.00
8	e. The Strong Readers Act	\$43,750,000.00
9	f. The Teachers' Retirement Credit	\$35,000,000.00
10	g. Early Intervention	\$16,725,341.00
11	h. Early Childhood Initiatives	\$15,000,000.00
12	i. Alternative and High Challenge	
13	Education	\$14,000,000.00
14	j. Required Assessments	\$13,405,685.00
15	k. The Math Achievement and	
16	Proficiency Program	\$7,500,000.00
17	l. The Public School Paid Maternity	
18	Leave Revolving Fund	\$6,500,000.00
19	m. The Revolving Loan Fund Program	
20	for Charter School Capital	
21	Expenditures, created pursuant	
22	to Enrolled House Bill No.	
23	3372 of the 2nd Session of the	
24	60th Oklahoma Legislature, in	

1	cooperation with the Statewide	
2	Charter School Board,	
3	utilizing memoranda of	
4	understanding and transferring	
5	the funds as needed	\$5,000,000.00
6	n. Literacy Coaches	\$5,000,000.00
7	o. Teacher Reading Program Training	\$5,000,000.00
8	p. The continuation of stipends for	
9	speech language pathologists	\$4,250,000.00
10	q. Math and Reading Screeners	\$4,000,000.00
11	r. School Lunch Matching	\$3,140,137.00
12	s. The continuation of a statewide	
13	early literacy program that	
14	mails free, age-appropriate	
15	books each month to children	
16	from birth to age five to	
17	build reading skills and	
18	school readiness at no cost to	
19	families	\$2,840,000.00
20	t. The support of a research-based	
21	literacy program used in	
22	schools that provides	
23	evidence-based, print material	
24	with a systematic phonics	

1	sequence, personalized	
2	decodable books, instructional	
3	videos, and is family	
4	supported	\$2,700,000.00
5	u. Student Teacher Compensation	\$2,650,000.00
6	v. Implementation of the provisions	
7	of Enrolled Senate Bill No.	
8	1614 of the 2nd Session of the	
9	60th Oklahoma Legislature	\$2,000,000.00
10	w. Advanced Placement Incentives	\$1,559,863.00
11	x. Continuation of existing Metrics	
12	Software program utilization,	
13	which, beginning in the 2026-	
14	2027 school year, will	
15	aggregate data to the	
16	classroom level	\$1,500,000.00
17	y. Continuation of a professional	
18	development-based educational	
19	program that trains teachers	
20	to create positive,	
21	respectful, and engaging	
22	classroom environments that	
23	inspire students to achieve	
24		

1	academic excellence and strong	
2	character development	\$500,000.00
3	z. The Oklahoma Arts Institute	\$320,000.00
4	aa. Nationally Recognized Career	
5	Readiness Assessments	\$250,000.00
6	bb. Continuation of a nonprofit,	
7	tuition-free alternative	
8	education program that	
9	combines high school academics	
10	with therapeutic counseling to	
11	help at-risk students graduate	
12	and prepare for college or	
13	careers	\$200,000.00
14	cc. Support of a program that	
15	partners with an institution	
16	of higher education that	
17	supports students through	
18	research-based, high-dosage	
19	tutoring focused on early	
20	literacy and middle school	
21	math	\$159,581.00
22	dd. Ag in the Classroom	\$38,000.00
23	SUBTOTAL, PARAGRAPH 2	\$970,477,201.00
24		

3. Funds appropriated by Section 12 of Enrolled Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature:

Administrative and Support

Functions of the State Department

of Education	\$18,297,734.00
--------------	-----------------

SUBTOTAL, PARAGRAPH 3	\$18,297,734.00
-----------------------	-----------------

TOTAL State School Aid and Programs	\$4,209,352,864.00
-------------------------------------	--------------------

SECTION 2. NEW LAW A new section of law not to be
codified in the Oklahoma Statutes reads as follows:

For the fiscal year ending June 30, 2027, the State Board of Education shall budget all funds in the following categories and amounts:

Category	Total
1. Payroll, Salaries or Wages, Including Tax-sheltered Deferment Contracts and Longevity Payments Authorized by State Statutes	\$38,000,000.00
2. Professional and Personal Services Contracts	\$36,787,370.00
3. Other Operating Funds	\$3,974,901,663.00
4. Expenditure of Federal Funds	\$1,000,000,000.00
TOTAL	\$5,049,689,033.00

1 The agency shall develop outcome-based performance measures for
2 each budget category.

3 SECTION 3. NEW LAW A new section of law not to be
4 codified in the Oklahoma Statutes reads as follows:

5 The funds appropriated in Sections 14 and 15 of Enrolled Senate
6 Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature in
7 the amount of Three Million Two Hundred Fifty Thousand Dollars
8 (\$3,250,000.00) shall be transferred to the School Consolidation
9 Assistance Fund.

10 SECTION 4. NEW LAW A new section of law not to be
11 codified in the Oklahoma Statutes reads as follows:

12 The funds appropriated in Sections 16 and 17 of Enrolled Senate
13 Bill No. 1177 of the 2nd Session of the 60th Oklahoma Legislature in
14 the amount of Three Million Two Hundred Fifty Thousand Dollars
15 (\$3,250,000.00) shall be transferred to the Teachers' Retirement
16 System Dedicated Revenue Revolving Fund.

17 SECTION 5. NEW LAW A new section of law not to be
18 codified in the Oklahoma Statutes reads as follows:

19 The funds allocated in subparagraph f of paragraph 2 of Section
20 1 of this act specifically for the purpose of funding the Teachers'
21 Retirement Credit shall be transferred to the Teachers' Retirement
22 System of Oklahoma.

23 SECTION 6. NEW LAW A new section of law not to be
24 codified in the Oklahoma Statutes reads as follows:

1 If the funds allocated in subparagraph f of paragraph 2 of
2 Section 1 of this act specifically for the purpose of funding the
3 Teachers' Retirement Credit are insufficient to fully fund the
4 employee contribution credits provided for in Section 17-108.2 of
5 Title 70 of the Oklahoma Statutes as invoiced by the Teachers'
6 Retirement System of Oklahoma, the State Department of Education may
7 reduce in equal proportions funds allocated in subparagraphs i, j,
8 p, s, w, y, z, aa, bb, and dd of paragraph 2 of Section 1 of this
9 act. The total amount of funds reduced shall not exceed the
10 additional amount required to fully fund the employee contribution
11 credits.

12 SECTION 7. NEW LAW A new section of law not to be
13 codified in the Oklahoma Statutes reads as follows:

14 Of the funds allocated in subparagraph p of paragraph 2 of
15 Section 1 of this act for the purpose of funding stipends for speech
16 language pathologists, Four Million Two Hundred Fifty Thousand
17 Dollars (\$4,250,000.00) shall be transferred to the Oklahoma School
18 Psychologist, Speech-Language Pathologist, and Audiologist National
19 Certification Revolving Fund, created in Section 6-206.1 of Title 70
20 of the Oklahoma Statutes, for the purpose of awarding annual bonuses
21 as directed.

22 SECTION 8. NEW LAW A new section of law not to be
23 codified in the Oklahoma Statutes reads as follows:

24

1 The funds allocated in subparagraph w of paragraph 2 of Section
2 1 of this act for Advanced Placement Incentives shall be expended
3 for the purpose of providing assistance for students in financial
4 need, providing grants to districts seeking to start new advanced
5 placement (AP) programs, and expanding professional development,
6 pursuant to the provisions of Section 1210.703 of Title 70 of the
7 Oklahoma Statutes.

8 SECTION 9. NEW LAW A new section of law not to be
9 codified in the Oklahoma Statutes reads as follows:

10 The funds allocated in subparagraph e of paragraph 2 of Section
11 1 of this act for the Strong Readers Act shall be expended pursuant
12 to the provisions of Section 1210.508A et seq. of Title 70 of the
13 Oklahoma Statutes.

14 SECTION 10. NEW LAW A new section of law not to be
15 codified in the Oklahoma Statutes reads as follows:

16 The funds allocated in subparagraph j of paragraph 2 of Section
17 1 of this act for Required Assessments shall be expended for the
18 purpose of administering a statewide student assessment system for
19 grades three through twelve, pursuant to Section 1210.508 of Title
20 70 of the Oklahoma Statutes.

21 SECTION 11. NEW LAW A new section of law not to be
22 codified in the Oklahoma Statutes reads as follows:

23 The funds allocated in subparagraph i of paragraph 2 of Section
24 1 of this act for Alternative and High Challenge Education shall be

1 expended for the purpose of operating the statewide system of
2 alternative education programs, as provided in Section 1210.568 of
3 Title 70 of the Oklahoma Statutes, and for encouraging school
4 districts to participate in innovative alternative education
5 programs.

6 SECTION 12. NEW LAW A new section of law not to be
7 codified in the Oklahoma Statutes reads as follows:

8 The funds allocated in subparagraph g of paragraph 2 of Section
9 1 of this act for Early Intervention shall be transferred to the
10 Early Intervention Revolving Fund (Fund 250). It is the intent of
11 the Legislature that funding available for SoonerStart Early
12 Intervention Services be expended for direct services to eligible
13 infants and toddlers and their families. The State Department of
14 Education shall not contract, pay, or reimburse for administrative
15 cost recovery personnel, accounting, management information system
16 costs, and maintenance and operations at the state or local level or
17 indirect costs which do not comply with the requirements of Section
18 13-125 of Title 70 of the Oklahoma Statutes.

19 SECTION 13. NEW LAW A new section of law not to be
20 codified in the Oklahoma Statutes reads as follows:

21 The funds allocated in subparagraph h of paragraph 2 of Section
22 1 of this act for the Early Childhood Initiative shall be expended
23 for the purpose of funding the early childhood program pursuant to
24

1 the provisions of Section 10-105.4 of Title 70 of the Oklahoma
2 Statutes.

3 SECTION 14. NEW LAW A new section of law not to be
4 codified in the Oklahoma Statutes reads as follows:

5 State Aid funds shall be reduced or withheld by the State Board
6 of Education in an amount necessary to ensure compliance with this
7 act.

8 SECTION 15. NEW LAW A new section of law not to be
9 codified in the Oklahoma Statutes reads as follows:

10 The State Board of Education is authorized to request the Office
11 of Management and Enterprise Services to transfer appropriated funds
12 to the appropriate dispensing fund.

13 SECTION 16. NEW LAW A new section of law not to be
14 codified in the Oklahoma Statutes reads as follows:

15 The Superintendent of Public Instruction may request through the
16 Director of the Office of Management and Enterprise Services the
17 early transfer by the Oklahoma Tax Commission of tax collections to
18 the Education Reform Revolving Fund for the purpose of early
19 allocation to the State Board of Education's disbursing funds to
20 alleviate cash-flow problems.

21 SECTION 17. NEW LAW A new section of law not to be
22 codified in the Oklahoma Statutes reads as follows:

23 If funds appropriated in Sections 1 through 22 of Enrolled
24 Senate Bill No. 1177 of the 2nd Session of the 60th Oklahoma

1 Legislature are not sufficient to fully fund the provisions of this
2 act, each school district that qualifies for funds, excluding
3 Financial Support of Public Schools, pursuant to the provisions of
4 this act shall take a proportionate reduction.

5 SECTION 18. NEW LAW A new section of law not to be
6 codified in the Oklahoma Statutes reads as follows:

7 A. The State Superintendent of Public Instruction may request,
8 in the manner provided in this section, that receipt and expenditure
9 of unanticipated federal funds awarded after July 1, 2026, be exempt
10 from expenditure limitations and from budgetary limitations.

11 1. The Superintendent shall make a request for exemption to the
12 Office of Management and Enterprise Services in writing and file a
13 revised budget work program.

14 2. The Superintendent shall also file copies of the request for
15 exemption and budget work program revisions with the chair of the
16 Appropriations Committee of the Oklahoma State Senate and the chair
17 of the Appropriations and Budget Committee of the Oklahoma House of
18 Representatives. The chair of the Appropriations Committee of the
19 Oklahoma State Senate and/or the chair of the Appropriations and
20 Budget Committee of the Oklahoma House of Representatives shall
21 notify the Office of Management and Enterprise Services of any
22 noncompliance of the request with legislative intent within twelve
23 (12) calendar days of receipt of the exemption request.

24

1 B. The Office of Management and Enterprise Services shall
2 approve the request for exemption unless both the chair and vice
3 chair of the Legislative Oversight Committee on State Budget
4 Performance provide written notification to the Office of Management
5 and Enterprise Services within twelve (12) calendar days of the
6 Committee's receipt of the exemption request that the exemption
7 subverts the intention and objectives of the Legislature in
8 establishing the original limit. The Office of Management and
9 Enterprise Services shall give written notice of approval or
10 disapproval of each exemption to the agency, the Governor, the chair
11 of the Appropriations Committee of the Oklahoma State Senate, and
12 the chair of the Appropriations and Budget Committee of the Oklahoma
13 House of Representatives within eighteen (18) calendar days of
14 receiving the request.

15 SECTION 19. NEW LAW A new section of law not to be
16 codified in the Oklahoma Statutes reads as follows:

17 There is hereby appropriated to the State Board of Education
18 from any monies not otherwise appropriated from the General Revenue
19 Fund of the State Treasury for the fiscal year ending June 30, 2027,
20 the sum of Eighty-one Thousand Seventy-two Dollars (\$81,072.00) to
21 be budgeted and expended in accordance with law.

22 SECTION 20. NEW LAW A new section of law not to be
23 codified in the Oklahoma Statutes reads as follows:

24

1 Of the funds appropriated by Section 19 of this act, Eighty-one
2 Thousand Seventy-two Dollars (\$81,072.00) shall be transferred to
3 the Binocular Screening Revolving Fund created by Enrolled House
4 Bill No. 3016 of the 2nd Session of the 60th Oklahoma Legislature.

5 SECTION 21. NEW LAW A new section of law not to be
6 codified in the Oklahoma Statutes reads as follows:

7 It is the intent of the Legislature that compliance with the
8 provisions of this act is enforceable pursuant to the provisions of
9 paragraph 9 of subsection A of Section 18b of Title 74 of the
10 Oklahoma Statutes.

11 SECTION 22. This act shall become effective July 1, 2026.

12 SECTION 23. It being immediately necessary for the preservation
13 of the public peace, health or safety, an emergency is hereby
14 declared to exist, by reason whereof this act shall take effect and
15 be in full force from and after its passage and approval.

16
17 COMMITTEE REPORT BY: COMMITTEE ON JOINT COMMITTEE ON APPROPRIATIONS
18 AND BUDGET, dated - dated 04/13/2026 - DO PASS, As Amended
19
20
21
22
23
24